Tax Due Diligence Report – Project Polarstern

Target: Nordlicht Immobilien GmbH & Co. KG, Berlin. Buyer: Aurora Residential Fund SCSp, Luxembourg. Report date: 3 August 2023. Closing: 29 September 2023.

Executive summary

The transaction is structured as a share deal: the fund acquires 89.9% of the partnership interests, a German family office (Hanseatic Family Office GmbH) acquires 10.1%. Key tax sensitivities are real estate transfer tax (RETT), the extended trade tax reduction and the interest barrier.

Area	Risk	Comment
RETT (share deal)	High sensitivity	90% threshold, 10-year holding periods
Trade tax – extended reduction	Medium	PV systems and operating equipment
Interest barrier	Medium	EUR 60m shareholder loan
VAT	Low	Option for commercial lettings

1. Structure and real estate transfer tax

The 89.9% / 10.1% split keeps the acquisition below the 90% threshold of § 1 (2a) and (2b) GrEStG. Any future transfer of interests within ten years must be monitored, including a sale by the 10.1% co-investor.

The partnership is commercially imprinted (gewerblich geprägt) through its general partner Nordlicht Verwaltungs GmbH and is therefore subject to trade tax.

2. Trade tax – extended reduction

The partnership claims the extended trade tax reduction under § 9 No. 1 sentence 2 GewStG for its rental income. Rooftop photovoltaic systems are operated on two buildings (see property schedule, document 02) and electricity is fed into the grid.

Current feed-in income is below the statutory de minimis threshold. However, management plans to install PV systems on six further buildings from 2025, which would significantly increase this income. Two commercial units contain operating equipment (Betriebsvorrichtungen) that should be reviewed.

3. Interest barrier and financing

The fund granted a shareholder loan of EUR 60m at 6.5% interest (document 03). Net interest expense exceeds EUR 3m; the partnership relies on the escape clause. The arm's length nature of the interest rate is supported by a 2023 bank offer.

4. VAT

Residential lettings are VAT-exempt. Commercial lettings (approx. 18% of rental income) are partly subject to VAT by option; input VAT correction periods are running.

5. Open points after closing

- Monitor shareholder changes for 10 years (RETT)
- Review PV expansion plan against the extended trade tax reduction
- Re-test interest barrier escape clause annually